

PUBLISHED PORTFOLIO

The First Bank of the United States

Historical Balance Sheet Evolution (1791–1793)

This publication traces the chronological development of early America's central credit institution. Utilizing pioneering weekly balance sheet reconstructions, we observe the transformation of sovereign debt and mercantile reserves in the first two years of the bank's active operation.

HISTORICAL SOURCE ATTRIBUTION

James O. Wettereau Collection

NYU Department of History (1902–1961)

A Tribute to James O. Wettereau



IN MEMORIAM

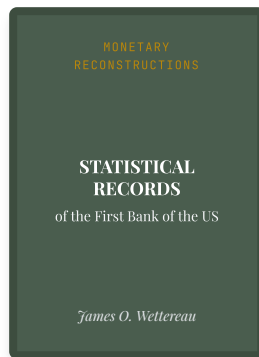
James O. Wettereau

1902 — 1961

*"He dedicated his lifetime to transcribing scattered treasury drafts and branch sheets,
reconstructing the first national bank's history."*

His pioneering archival work reconstructed hundreds of balance sheets of the First Bank of the United States and made modern monetary research possible.

Primary Source Material



STATISTICAL RECORDS OF THE FIRST BANK

This comprehensive publication reconstructs the Bank's weekly balance sheets from original archival records and correspondence.

The balance sheets provide a unique opportunity to observe the development of America's first national bank almost week by week, offering insight into the early republic's credit architecture.

First Published Balance Sheet

DECEMBER 26, 1791

ASSETS		LIABILITIES & CAPITAL	
Bills Discounted	\$688,775	Capital Stock	\$496,550
Cash on Hand	\$320,581	Deposits	\$492,262
		Bank Notes	\$14,270
		Post Notes	\$3,598
Total Assets	\$1,009,356	Total Liabilities & Cap	\$1,006,680

KEY OPERATIONAL INSIGHT

Immediately after opening, nearly 70% of the Bank's assets consisted of discounted bills, indicating that the Bank had already begun actively creating credit through discounting operations.

Deposits Begin to Grow

When customers deposited specie (gold and silver), the Bank simultaneously:

- Increased its cash assets (+ Cash on Hand)
- Recorded customer deposits as liabilities (+ Deposits)

CHRONOLOGICAL SPECIE MOVEMENT (DEC 1791)

Metric	December 26	December 29
Cash (Vault Specie)	\$320,581	\$706,048
Deposits (Liabilities)	\$492,262	\$1,031,125

BALANCE SHEET EXPANSION EFFECT

Every specie deposit expanded both sides of the balance sheet. Assets (Cash) = Liabilities (Deposits) grew in parallel.

Deposits, Notes, and Discounts Expand Together

As the Bank began operating, its balance sheet expanded through three primarily connected transaction pathways:

1. SPECIE DEPOSIT

Customer brings physical gold or silver specie into the vault.

+ Cash on Hand
+ Deposit Money

2. CURRENCY CONVERSION

Depositor converts bank deposit balance into circulating paper notes.

- Deposit Money
+ Bank Notes in Circ.

3. COMMERCIAL DISCOUNT

Bank acquires commercial bill of exchange and credits merchant's balance.

+ Bills Discounted
+ Deposits / Banknotes

DOUBLE-ENTRY LEDGER ARCHITECTURE:

Specie deposited Cash (+A) / Deposits (+L)

Deposit converted into notes Deposits (-L) / Bank Notes (+L)

Bill discounted Bills Discounted (+A) / Deposits (+L)

Treasury Deposits Appear

MARCH 9, 1792

On March 9, 1792, for the first time in the bank's accounting history, deposits were split and reported separately:

GOVERNMENT DEPOSITS

\$599,870

(51.3% of total)

PRIVATE DEPOSITS

\$569,550

(48.7% of total)

Key Sovereignty Milestone

The separate appearance of Government Deposits marks the beginning of the First Bank's official role as the federal government's fiscal agent, facilitating the transfer of customs revenue and public tax drafts across the coastal republic.

The \$2 Million Loan to the United States

JUNE 29, 1792

A major credit expansion occurs on June 29, 1792, as the federal government completes its structural stock purchase:

RECORDED ASSET ON BALANCE SHEET:	
Loaned U.S. No. 1 & No. 3	\$2,000,000
Loaned U.S. No. 2	\$100,000

Section 11 Charter Fulfillment

This transaction represents the fulfillment of Section 11 of the Bank Charter. Alexander Hamilton utilized a circular credit scheme: the Treasury subscribed to \$2 million of BUS stock, and the bank simultaneously loaned \$2 million back to the Treasury to pay for that stock. The loan was repaid over 10 years using the stock's dividends.

